

TENTATIVE RULINGS

Date: April 17, 2025

#	Case Name	Tentative
1.	30-2024-01398797 Callahan & Blaine, APLC vs. Purifying Systems, Inc.	1. Case Management Conference 2. Motion to Compel Arbitration Based on applicable law, Plaintiff Callahan & Blaine, APLC’s Motion to Compel Arbitration is GRANTED as follows. The Court finds that Plaintiff met its initial burden of establishing an agreement to arbitrate exists and that Plaintiff’s claims are within the scope of the arbitration provision. Plaintiff produces evidence that in or around August 2020, it entered into the Retainer with Defendants. (See, Van Ackeren Decl., ¶ 2, Exh. A.) Defendants, in Opposition, do not dispute that they entered into the Retainer. (See Magana Decl., ¶ 4.) Defendant Jaine Magana (“Magana”) only states that he was not a sophisticated consumer of legal services, that he was never informed he should seek independent legal advice regarding the Retainer, that he was never informed that by signing the Retainer, he was waiving rights against Plaintiff and that he would need to proceed with arbitration, and that had he known the Retainer took his right to sue for malpractice, fraud, etc., and that he would have to proceed with a private arbitrator, he would not have agreed to the terms. (See Magana Decl., ¶¶ 5-8.) This testimony does not negate that Defendants signed the Retainer. As such, Defendants are bound by its terms. (See <i>Stewart v. Preston Pipeline Inc.</i> (2005) 134 Cal.App.4th 1565, 1588 [“It is well established, in the absence of fraud, overreaching or excusable neglect, that one who signs an instrument may not avoid the impact of its terms on the ground that he failed to read the instrument before signing it.”]) Moreover, Plaintiff’s claims for breach of the Retainer and Common Count for Defendants’ failure to remit payment for services rendered in Plaintiff’s representation of Defendants is within the scope of the arbitration provision. The Retainer states that “all controversies” concerning the “Agreement or its breach, including without limitation disputes concerning fees, costs, malpractice and professional misconduct, or any combination thereof, shall be submitted to binding arbitration.” (See <i>supra</i>.) Accordingly, the Court finds that Plaintiffs met its initial burden of establishing an agreement to arbitrate exists. The Court also finds that Defendants did not meet their burden of establishing that a defense to enforcement of the arbitration provision exists. <u>Unconscionability</u> An agreement must be both procedurally and substantively unconscionable to permit the court to refuse to enforce the agreement or a given clause as unconscionable. (See <i>Stirlen v. Supercuts, Inc.</i> (1997) 51 Cal.App.4th 1519, 1533.) “[T]hese elements, however, need not be present in the same degree. ‘[T]he more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.’” (<i>Mercurio v. Superior Court</i> (2002) 96 Cal.App.4th 167, 174.)

Unconscionability has a procedural and a substantive element: the procedural element focuses on the existence of oppression or surprise and the substantive element focuses on overly harsh or one-sided results. (*Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 114; see *Nyulassy v. Lockheed Martin Corp.* (2004) 120 Cal.App.4th 1267, 1281.)

The *Armendariz* factors to use to determine whether an agreement is substantively unconscionable focus on bilaterality, a neutral arbitrator, adequate discovery, a written award, the availability of all types of relief that would be otherwise available in court, and payment by the employer of the arbitration fees beyond what the employee would have to pay in court. (See *supra*; *Armendariz*, 24 Cal.4th at 102-103.)

Here, Defendants do not contend that the Retainer is either procedurally or substantively unconscionable. Rather, they merely argue the entire Retainer is unconscionable because: (1) it does not comply with California Rules of Court, Rule 1.8.1 because this rule requires that if an adverse interest is taken by the attorney, the terms must be “fair and reasonable;” (2) it “shifts blame and responsibility for the firm’s actions onto the client” because the Retainer states that “Client also acknowledges ... that Client may be required to reimburse the opposing party’s attorney’s fees and costs, ... as well as court-ordered sanctions resulting from motions brought or defended on Client’s behalf. Under such circumstances, Client shall be solely responsible for payment of the Attorney’s fees, costs and/or sanctions so awarded, if any” and under this language Defendants could have been liable for the mistakes of the firm in bringing and/or defending motions that resulted in sanctions against it; (3) it excludes work on “post-trial motions, appeals, writs or collection activities ...” which places the onus of collecting on any judgment on the client and Plaintiff blocked or interfered with the recovery of funds thereby breaching their obligations to client; and (4) it provides there is no guarantee of success when Plaintiff was providing Defendant Magana with a case value estimate of \$3.2 million. (See Opposition, ¶¶ 20-27.) Accordingly, Defendant’s have not shown how these provisions are either procedurally or substantively unconscionable under the law.

Waiver

On July 25, 2024, the California Supreme Court addressed waiver in arbitrations in *Quach v. California Commerce Club, Inc.* (2024) 16 Cal.5th 562. This case overruled *St. Agnes Medical Center v. PacifiCare of California* (2003) 31 Cal.4th 1187 which required prejudice in determining whether a party waived its right to arbitration.

“[I]n determining whether a party to an arbitration agreement has lost the right to arbitrate by litigating the dispute, a court should treat the arbitration agreement as it would any other contract, without applying any special rules based on a policy favoring arbitration. That is, courts should apply the same procedural rules that they would apply to any other contract. [Citation.]” (*Quach*, *supra*, 16 Cal.5th 562.) Determining whether a party has lost its right to compel arbitration as a result of its litigation-related conduct is governed by generally applicable state law contract principles, and these principles do not require a showing of prejudice to establish waiver. (*Id.*)

“To establish waiver under generally applicable contract law, the party opposing enforcement of a contractual agreement must prove by clear and convincing evidence that the waiving party knew of the contractual right and intentionally relinquished or abandoned it. [Citations.]” (*Id.*)

“Under the clear and convincing evidence standard, the proponent of a fact must show that it is ‘highly probable’ the fact is true. [Citation.] The waiving party’s knowledge of the right may be ‘actual or constructive.’ [Citation.]” (*Id.*) “Its intentional relinquishment or abandonment of the right may be proved by evidence of words expressing an intent to relinquish the right or of conduct that is so inconsistent with an intent to enforce the contractual right as to lead a reasonable factfinder to conclude that the party had abandoned it. [Citation.]” (*Id.*)

“The waiver inquiry is exclusively focused on the waiving party’s words or conduct; neither the effect of that conduct on the party seeking to avoid enforcement of the contractual right nor that party’s subjective evaluation of the waiving party’s intent is relevant. [Citations.]” (*Id.*) “This distinguishes waiver from the related defense of estoppel, ‘which generally requires a showing that a party’s words or acts have induced detrimental reliance by the opposing party.’ [Citations.]” (*Id.*) “To establish waiver, there is no requirement that the party opposing enforcement of the contractual right demonstrate prejudice or otherwise show harm resulting from the waiving party’s conduct. [Citations.]” (*Id.*)

Here, Plaintiff filed its Motion on 2/4/2025 approximately four months after it filed its Complaint on 10/10/2024. There is nothing to suggest that Plaintiff waived its right to arbitrate. Accordingly, the Court finds that Plaintiff did not waive its right to arbitration.

The Retainer Is Not Void

Defendants contend the Retainer is voidable as violative of public policy because California Rules of Professional Conduct, Rule 1.8.1, has certain guidelines when an attorney takes a pecuniary interest that is adverse to the client’s interest, and the Retainer includes only boilerplate language about seeking independent legal advice related to attorney liens and said language is buried in the Retainer; that there is no evidence that Plaintiff obtained “informed written consent” from Defendants in relation to the lien taken by the firm; that Plaintiff’s firm’s attorney, Justin Farkas, interfered with efforts by Defendant MAGANA to recover on a judgment awarded in the Kern County Superior Court case; that Plaintiff took a pecuniary interest that was adverse to that of its client without properly forewarning them; that Retainer disavows any potential claim that it is a contingency agreement; and thus the Retainer is “voidable as violative of important public policies designed to protect consumers such as Defendants.”

Rule 1.8.1 referred to by Defendants states: “A lawyer shall not ... knowingly acquire an ownership, possessory, security or other pecuniary interest adverse to a client, unless each of the following requirements has been satisfied: (a) the transaction or acquisition and its terms are fair and reasonable to the client. (b) the client either is represented in the transaction ... or the client is advised in writing to seek the advice of an independent lawyer of the client’s choice and is given a reasonable opportunity to seek that advice.... (c) the client thereafter provides informed written consent....”

Here, the Retainer specifically states as follow: “Further, Client hereby grants to Attorney a lien for payment of fees, costs and other sums owed by Client to Attorney. Attorney's lien shall attach to all funds paid in settlement of any of Client's claims or satisfaction of any judgment entered on Client's behalf, whether obtained in this or in any other matter in which Attorney represents or has represented Client. Client is hereby advised of its right and possible need for independent representation and legal

		counsel regarding the grant of this lien and has either taken the opportunity to seek such independent legal representation before signing this Agreement or, given Client's level of sophistication and business experience, has chosen not to do so.” Defendants signed the Retainer. There is no evidence of fraud or duress or that Defendants were forced to execute the Retainer. There is no evidence to support Defendants’ contention that the Retainer violates public policy. <u>Other Grounds in Opposition</u> Defendants contend that Plaintiff prevented them from collecting funds awarded in the underlying litigation, the Kern County case, and that such conduct bars equitable relief. However, “unclean hands,” as alleged, is not a defense to a motion to compel arbitration. Defendants contend that Code of Civil Procedure section 1281.2(c) permits denial of this Motion due to the “risk of inconsistent rulings.” Defendants contend they filed suit in Kern County Superior Court alleging professional negligence, fraud, etc.; that the Complaint and Summons have not yet been served; and ordering arbitration runs the risk of conflicting opinions and rulings. Although C.C.P. section 1281.2(c) allows for denial of a motion to compel arbitration due to a risk of inconsistent rulings, here, the Kern County action has not even been served, and there is no evidence that same would result in the risk of inconsistent rulings. Lastly, Defendants contend that they were not advised of the Retainer and the arbitration provision and the possible consequences thereof and thus it should not be enforced. Defendants cite to <i>Lawrence & Walzer & Gabrielson</i> (1989) 207 Cal.App.3d 1501 as legal authority. Here, unlike in <i>Lawrence</i>, the Retainer specifically states that claims involving breach of the Retainer and disputes concerning fees and costs “shall” be submitted to binding arbitration. As such, this argument is not a defense to arbitration. As set forth above, Defendants were provided the Retainer and they executed it. Again, “[i]t is well established, in the absence of fraud, overreaching or excusable neglect, that one who signs an instrument may not avoid the impact of its terms on the ground that he failed to read the instrument before signing it.” (See <i>Stewart</i>, supra, 134 Cal.App.4th at 1588.) There is no “duty” by a law firm to advise its clients of the impact of signing an agreement that contains an arbitration provision. The Court GRANTS the petition and ORDERS this action stayed pursuant to C.C.P. section 1281.4 and sets a Status Conference re Arbitration for October 23, 2025 at 10:30 am in Dept. C34. Moving Party is to give notice.
2.	30-2023-01361390 Norris vs. Chavez-Nambo	Motion to Be Relieved as Counsel of Record The unopposed motion of attorney Fernando Vargas of Law Offices of Fernando D. Vargas to be relieved as counsel for Plaintiff Diona Shunte Norris is GRANTED. Service on the client and on all other parties who have appeared in the case was proper and all required forms containing the requisite information were filed pursuant to California Rules of Court, rule 3.1362.